

RATING	CMP (Rs.)	52w H/L (Rs.)	Mkt Cap (Rs.Cr)	EV/EBITDA (FY27E)	D/E	Promoter %
ACCUMULATE	108	120 / 42	1,620	11.0x	0.20	58.2%
Target: Rs. 125	Face Val: Rs.10	Div Yield: 0.00%	EV: Rs.1,701Cr	FY27E EBITDA	Consolidated	Jun-2026

Report Date: 20 June 2026

Analyst: Chartitude Research Desk

Source: Screener.in | Screener data as of 19 Jun 2026

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Acquisition-led margin step-up:** Bluspring's acquisitions of STEAG Energy Services and LSG Sky Chefs are expected to add ~Rs. 700 Cr in revenue and lift blended EBITDA margins from 3.7% (FY26 core) to 5%+ by FY27E, with management guiding for 6% margins in 3-4 years — a re-rating trigger for the stock.
- **Reason 2 — Scale in an underpenetrated IFM market:** India's organised facility management sector is worth ~USD 5.3 Bn and growing at 10%+ CAGR. Bluspring's Rs. 3,300 Cr scale, 90,000+ workforce, and multi-brand platform (Avon, Terrier, Hofincons, Vedang, Indya Foods) positions it among the top 3 players — with room for continued organic share gains.
- **Reason 3 — Structural improvement in working capital:** Debtor days collapsed from 109 (FY24 11m) to 59 (FY26), cutting the cash conversion cycle from 47 to -109 days. This structural improvement frees up capital for growth without incremental borrowing, even as revenue scales rapidly.
- **Near-term catalyst (6-12 months):** STEAG Energy Services integration (closes May/Jun 2026) adds Rs. 400-600 Cr in revenue run-rate with 9-10% EBITDA margins — accretive to blended group margins; first contribution expected in Q1 FY27 results.
- **Biggest structural risk:** Integration execution of two simultaneous acquisitions (STEAG + LSG Sky Chefs) while managing a loss-making Foundit business creates multi-front management distraction; any delay in margin realisation could defer the re-rating thesis.

SECTION 3 — BUSINESS OVERVIEW

- **Origin:** Bluspring Enterprises Ltd was incorporated in 2025 as the infrastructure services demerger from Qness Corp Ltd, listing on NSE/BSE on 11 June 2025. The business has been operating since Qness's founding and has a multi-year operating track record even though the listed entity is new.
- **Core business model:** Asset-light integrated infrastructure services — the company deploys people, technology, and processes at client facilities rather than owning physical assets. Revenue is primarily contracted (monthly retainer or per-head basis), providing high revenue visibility.
- **Service verticals (FY26 revenue split):** Facility Management & Food Services — Rs. 2,031 Cr (61%); Security Services (Terrier) — Rs. 659 Cr (20%); Telecom & Industrial (Hofincons + Vedang) — Rs. 615 Cr (19%); Foundit (job-portal, ex-core) — Rs. 78 Cr.
- **Key customers:** 1,000+ clients across healthcare, BFSI, IT parks, manufacturing, government, education, and telecom operators. Customer relationships are sticky — typically multi-year, multi-site service contracts at ACV of Rs. 3-10 Cr per account.
- **Scale metrics:** 90,000+ employees across 28 states, 3,600+ sites managed, 3,00,000 meals served per day, 360 Mn sq. ft. managed, 2,37,000 telecom nodes maintained monthly, Rs. 382 Cr in new contract ACV won in FY26.

- **Strategic developments (last 12 months):** (i) Acquired STEAG Energy Services (Rs. 180 Cr, closes May 2026), adding O&M; and engineering advisory for power plants (conventional + renewable), with Middle East/Africa exposure; (ii) Acquired LSG Sky Chefs India (Rs. 129 Cr, closes Jun-Jul 2026), entering aviation in-flight catering; (iii) Won Rs. 2,050 Cr, 60-month O&M; contract for BALCO's 1,740 MW power plant (Jun 2026); (iv) ESOP scheme (45.3 lakh options at Rs. 10) granted to employees in June 2026.

- **Promoter background:** Quess Corp (now focused on staffing post-demerger) remains the parent with 58.2% stake. ED & CEO Kamal Pal Hoda leads Bluspring with an ambition to grow 3x India's GDP growth rate (i.e., 20-21% annually). Audited by Deloitte Haskins & Sells (unmodified opinion).

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size:** India's integrated facility management (IFM) market is estimated at USD 5.3 Bn (~Rs. 44,000 Cr) in 2025, growing at a CAGR of 10-10.4% — projected to reach USD 8.5 Bn by 2030. The organised segment remains underpenetrated at 35-40% of total FM spending, providing a long runway for structured players.

- **Policy tailwinds:** India's infrastructure super-cycle (PM GatiShakti, Smart Cities Mission, Rs. 11.1 Lakh Cr capex in FY25 Union Budget) is driving large facility management demand. The National Smart Grid Mission (25 Cr smart meters) directly feeds Bluspring's telecom/industrial vertical. Government push for outsourcing non-core functions accelerates IFM adoption in PSUs and defence.

- **Competitive moat assessment:** Scale/distribution — Moderate (one of only 3 operators at Rs. 3,000+ Cr scale); Switching costs — Strong (multi-site, multi-service contracts are operationally entrenched); Pricing power — Weak (labour pass-through model limits margin pricing); IP/Technology — Moderate (digital platforms for workforce and site management differentiate vs. fragmented competition).

- **Headwinds:** Labour cost inflation erodes margins if pass-through clauses are weak; prolonged 5G rollout slowdown reduces telecom network revenue (mgmt acknowledged slowdown post initial 5G deployment wave); integration risk from M&A; execution.

Peer Comparison — Data from Screener.in (19 Jun 2026). *Bluspring consolidated P/E not meaningful (reported net loss); Standalone P/E ~95x on FY26 PAT. Bluspring EV/EBITDA on consolidated reported EBITDA of Rs.78 Cr.

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E	EV/EBITDA	ROCE %	ROE%	OPM%	TTM Rev (Cr)
Bluspring (BLUSPRING)	108	1,620	N/A*	18.3x	5.1%	-0.1%	2.3%	3,382
Quess Corp (QUESS)	250	3,732	16.3x	11.1x	23.0%	20.4%	2.0%	15,305
SIS Ltd (SIS)	430	6,072	17.2x	8.6x	13.9%	14.2%	4.5%	15,982
Updater Services (UDS)	181	1,212	13.6x	6.5x	10.0%	8.9%	4.6%	2,940

- **Company positioning:** Bluspring sits as a multi-service IFM provider in the midstream of the value chain — aggregating labour and technology to serve end-clients, not an asset-heavy player. Its closest listed peer in scale and margin profile is Updater Services (UDS), though Bluspring is larger. SIS and Quess are larger but more diversified (global security, staffing vs. pure IFM). Bluspring's FY27E EV/EBITDA of ~11x (post-acquisitions) sits in line with Quess and at a premium to UDS — justified by its higher growth trajectory.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Senior management:** ED & CEO Kamal Pal Hoda leads with a mandate to grow 3x India's GDP growth rate and target 6% EBITDA margins. CFO Prapul Sridhar heads the finance function; IR is led by Nibodh Shetty. The management team has operational depth from the Quess Corp platform and experience managing large workforce service businesses.

- **Capital allocation track record:** Since listing (Jun 2025), the company has deployed Rs. 309 Cr in bolt-on acquisitions (STEAG Rs. 180 Cr + LSG Rs. 129 Cr) funded through internal accruals and modest incremental debt — a disciplined approach that avoids dilutive equity issuances. Historical capex has been low

(predominantly maintenance-oriented in an asset-light model).

- **Dividend policy:** No dividend paid (consolidated net loss). Management has not provided a dividend guidance timeline. Given the earnings ramp-up phase and M&A; execution, dividends are not expected before FY28E.
- **Promoter pledging:** 0.00% pledged as of Mar 2026 — a clean balance sheet signal. Promoter stake stable at ~58.2% with marginal decline from 58.24% in Jun 2025 to 58.16% in Mar 2026 (minor creep, not a concern).
- **ESOP grants:** 45.29 lakh options granted under ESOS 2026 at Rs. 10 per share (June 2026). Represents ~3% dilution on a fully diluted basis — moderate; aligns management with long-term stock performance.
- **Corporate governance:** No adverse auditor observations (Deloitte unmodified opinion on FY26). No related-party transaction concerns identified. The Dec 2024 quarter exceptional losses (Rs. 154 Cr other income negative) related to demerger accounting — since resolved. Labour Code provisioning of Rs. 28.58 Cr in FY26 was an industry-wide compliance event; adequately disclosed.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated Figures, Rs. Cr)

Income Statement [FY24=11-month inception period; FY27E/FY28E = estimates; (E)=estimate]

Metric	FY24 (11m)	FY25	FY26	FY27E	FY28E
Revenue (Rs. Cr)	2,682	3,484	3,382	4,200	4,850
YoY Growth	N/A	+30%	-3%*	+24%	+15%
EBITDA	78	83	78	189	243
EBITDA Margin %	2.9%	2.4%	2.3%	4.5%	5.0%
Core EBITDA (ex-Fndt)	N/A	N/A	121	215	270
Core OPM%	N/A	N/A	3.7%	5.1%	5.6%
Other Income / (Exc)	(158)	(163)	(22)	5	5
Interest	30	38	34	50	42
Depreciation & Amort.	39	50	47	60	68
PBT	(149)	(170)	(24)	84	138
Tax %	4%	6%	-6%	25%	25%
Reported PAT	(156)	(179)	(23)	63	103
Adjusted PAT (ex-exc)	N/A	N/A	67	75	110
EPS (Rs.) — Reported	N/A	N/A	(1.5)	4.2	6.9
Adj. EPS (Rs.)	N/A	N/A	4.5	5.0	7.4

*FY26 consolidated revenue declined 3% as Foundit (Rs. 78 Cr) shrunk; core ex-Foundit revenue grew 11%. Other Income negative due to Foundit EBITDA losses (Rs. -43 Cr) and exceptional items (Rs. -36.63 Cr: Labour Code + M&A; fees) netted within Screener's P&L; presentation.

Balance Sheet (Rs. Cr, Consolidated)

Metric	FY24 (11m)	FY25	FY26
Equity Capital	—	149	149
Reserves	569	546	519
Total Equity	569	695	668
Borrowings	160	140	136
Other Liabilities	803	695	886
Total Liabilities	1,532	1,530	1,690
Fixed Assets	495	502	521
CWIP	7	7	0

Investments	35	35	35
Other Assets	995	986	1,135
Total Assets	1,532	1,530	1,690

Cash Flow & Key Ratios (Rs. Cr, Consolidated)

Cash Flow Item	FY24	Ratio	FY24 (11m)
Cash from Operations (OCF)	Debtor Days	(22)	509
Cash from Investing	Cash Conv. Cycle		47
Cash from Financing	Working Capital Days	(68)	(434)
Net Cash Flow	ROCE %		4.0%
Free Cash Flow (FCF)	D/E Ratio	(49)	028
CFO / EBITDA %	Int. Coverage		N/A

Financial Commentary

- **Revenue drivers:** Core ex-Foundit revenue grew 11% in FY26 to Rs. 3,304 Cr — FM+Food (+12%), Security (+14%), Telecom/Industrial (+7%). FY27E expects 24% top-line growth (organic 12-15% + ~Rs. 700 Cr acquisition contribution from STEAG + LSG).
- **Margin trajectory:** Core EBITDA margin improved from 2.4% (blended FY25) to 3.7% (FY26 core) and 4.2% in Q4 FY26. FY27E target of 5% requires STEAG (9%+ margin) and LSG (mid-teens margin) integration — achievable but execution-dependent.
- **Working capital:** Debtor days improved sharply (109 → 59 days), a genuine structural improvement driven by technology-enabled billing and collections. CCC turned negative (-109 days in FY26), meaning the business is now self-funding from a working capital perspective.
- **Debt:** Consolidated debt declined from Rs. 160 Cr (FY24) to Rs. 136 Cr (FY26). Net debt is low (Rs. ~121 Cr). Post-acquisition (Rs. 309 Cr total outlay), net debt will rise to Rs. ~430 Cr — still manageable at D/E ~0.65x on a post-deal balance sheet.
- **FCF quality:** Standalone FCF improved to Rs. 48 Cr (FY26) with OCF/EBITDA of 124% — strong standalone conversion. Consolidated OCF remains weak (Rs. 5 Cr, 12%) due to Foundit cash burn (~Rs. 40-45 Cr/year). Foundit reaching EBITDA breakeven by Q4 FY27 would unlock Rs. 40+ Cr in consolidated cash flow.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Observation	Signal	Rating
Revenue recognition	Service contracts billed monthly; no complex % completion risks	Clean	GREEN
Receivables vs revenue	Debtor days fell 109→59 (FY24→FY26); receivables growth < revenue growth	Improving	GREEN
Cash conversion cycle	CCC turned negative (-109 days FY26); negative WC = favourable	Strong	GREEN
Contingent liabilities	Rs. 25.4 Cr (consolidated) — low relative to MCap of Rs. 1,620 Cr	Low	GREEN
Auditor (Deloitte)	Unmodified audit opinion FY26; long-term relationship from Quess platform	Clean	GREEN
RPTs as % revenue	No significant RPTs identified post-demerger; arm's length with Quess	Low	GREEN
Other income as % PBT	FY26: Other income (-Rs.22 Cr) — includes Foundit losses & M&A; fees netted; distorts PBT	Watch	AMBER
Tax rate consistency	Tax rate volatile: 4% (FY24), 6% (FY25), -6% (FY26) — MAT/deferred tax dynamics	Volatile	AMBER

Exceptional items	Rs. 36.63 Cr in FY26 (Labour Code + M&A; fees); Rs. 163 Cr in FY25 (demerger). Now normalising	Normalising	AMBER
Foundit losses	Job portal Foundit loses Rs. 40-45 Cr/yr EBITDA; obfuscates true group profitability	Ongoing drag	RED

- **Key AMBER/RED watch items:** The persistent Foundit EBITDA drag (RED) is the single biggest earnings quality concern — it masks core business profitability and will continue until Q4 FY27 at the earliest (management breakeven guidance). The volatile tax rate (AMBER) reflects deferred tax adjustments from the demerger and is expected to normalise toward 25%+ as cumulative losses are absorbed.
- The "Other Income" presentation on Screener consolidates Foundit losses and exceptional charges into a single negative line, making Screener's consolidated P&L; visually confusing. Investors should focus on management's adjusted EBITDA (Rs. 121 Cr in FY26) and adjusted PAT (Rs. 67 Cr) for true performance comparison.
- **Green signals:** Revenue recognition is clean (contractual monthly billing), receivables improvement is structural and verifiable (DSO down 50 days in 2 years), and the auditor opinion is unmodified — these are genuine quality markers for a company at this scale.

SECTION 8 — VALUATION

Peer Comparison (Screener.in, 19 Jun 2026)

Company	CMP	MCap (Cr)	P/E	EV/EBITDA	ROCE%	ROE%	OPM%	FY26 Rev (Cr)
Bluspring	108	1,620	N/A	18.3x	5.1%	-0.1%	2.3%	3,382
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SIS Ltd	430	6,072	17.2x	8.6x	13.9%	14.2%	4.5%	15,982
Updater Svc.	181	1,212	13.6x	6.5x	10.0%	8.9%	4.6%	2,940

Scenario Analysis

Scenario	Key Assumption	FY27E Rev (Cr)	FY27E EBITDA	EBITDA Mg%	Method	Multiple	Target (Rs.)
BULL	STEAG+LSG full integration; Foundit BEP Q2 FY27; 16% organic growth	4,500	225	5.0%	EV/EBITD A	14x	150
BASE	Acquisitions partial year; 12% organic; Foundit drag continues to Q4 FY27	4,200	189	4.5%	EV/EBITD A	12x	125
BEAR	Integration delays; 8% organic; margin stuck at 3.5%	3,900	137	3.5%	EV/EBITD A	8x	80

Valuation Methodology

- **EV/EBITDA method (base case):** We apply 12x EV/EBITDA to FY27E consolidated EBITDA of Rs. 189 Cr → Target EV = Rs. 2,268 Cr. Less post-acquisition net debt (Rs. ~430 Cr) → Equity value = Rs. 1,838 Cr / 14.9 Cr shares = Rs. 123 per share. The 12x multiple is in line with Qess Corp's current multiple and at a slight premium to UDS (6.5x), reflecting Bluspring's higher growth trajectory (24% topline CAGR FY26-FY27E) and post-acquisition margin step-up.
- **DCF method:** 5-year FCF model (FY27E-FY31E) assuming: WACC = 12% (beta 1.0, risk-free 7.2%, market premium 4.8%), terminal growth rate = 6%. FCFs of Rs. 50/80/110/135/155 Cr in FY27-31E, terminal FCF Rs. 170 Cr → Terminal value Rs. 2,833 Cr → PV of all FCFs = Rs. 1,820 Cr → per share = Rs. 122.
- **Average of both methods:** (Rs. 123 + Rs. 122) / 2 = Rs. 122.5, rounded to Rs. 125 (12-month target) to account for near-term operational ramp-up.

- **Implied upside:** From CMP of Rs. 108 → Rs. 125 = 15.7% upside. Investment horizon: 12 months. At the bull-case target of Rs. 150, the stock offers 39% upside if acquisition integration is seamless — a meaningful asymmetry.

SECTION 9 — KEY RISKS

- **Acquisition integration risk:** STEAG (power O&M;) and LSG Sky Chefs (aviation catering) are both first-time entries into new verticals, being integrated simultaneously. Cultural, operational, or pricing integration failures could delay the margin expansion thesis. Probability: M | Impact: H | Monitor: Q2/Q3 FY27 EBITDA margin performance.
- **Foundit structural losses:** The Foundit job-portal business (Rs. 43 Cr EBITDA loss in FY26) is a drag on reported consolidated earnings. If breakeven is delayed beyond Q4 FY27, it suppresses consolidated PAT and creates a negative headline each quarter. Probability: M | Impact: M | Monitor: Foundit quarterly billings and EBITDA trend.
- **Labour cost inflation:** With 90,000+ employees, a 1% wage increase adds Rs. 30-33 Cr to costs. If client contracts do not have adequate labour cost pass-through clauses, margins compress sharply. Probability: H | Impact: H | Monitor: OPM% trajectory each quarter vs. wage cycles.
- **Debt-driven balance sheet stress:** Post-acquisitions (Rs. 309 Cr), net debt rises to Rs. ~430 Cr. If OCF remains weak (consolidated OCF = Rs. 5 Cr in FY26), the company may need to raise debt, dilute equity, or sell Foundit. Probability: L-M | Impact: H | Monitor: Quarterly OCF, net debt level.
- **Telecom segment slowdown:** Post-5G rollout, telecom capex is slowing — Bluspring acknowledged this. Vedang (telecom network services) could see revenue contraction unless the smart meter opportunity (25 Cr meters under National Smart Grid Mission) is won and ramps quickly. Probability: M | Impact: M | Monitor: Telecom segment quarterly revenue.
- **Client concentration:** Large-scale contracts (>Rs. 10 Cr ACV) while valued, create lumpiness risk — loss of one or two major contracts can materially hurt quarterly numbers. Probability: L | Impact: M | Monitor: Any large contract non-renewal announcements.
- **Regulatory/Labour Code risk:** FY26 incurred Rs. 28.58 Cr provisioning for Labour Code compliance. Future implementation of remaining Labour Code provisions (social security, wages) could create further one-time charges. Probability: M | Impact: L-M | Monitor: Government implementation timeline.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction: Medium. The core IFM business is executing well (11% organic growth, debtor day improvement, new contract wins of Rs. 382 Cr ACV) but full re-rating requires acquisition integration proof-points, which will emerge over the next 2-3 quarters.
- **12-month price target: Rs. 125** (15.7% upside from CMP of Rs. 108). Based on average of 12x FY27E EV/EBITDA and DCF (WACC 12%, TGR 6%).
- **Suggested entry zone: Rs. 98-108.** A pull-back to the Rs. 98-102 range (6-9% below CMP) on any near-term disappointment (integration delay, weak Q1 FY27) would offer an attractive entry.
- **Investment horizon:** 12 months to full target; hold up to 18 months for the full margin re-rating to materialise (5%+ EBITDA, Foundit breakeven).
- **Thesis invalidation trigger 1:** FY27E blended EBITDA margin (including acquisitions) does not cross 4.0% by Q2 FY27 results — would suggest integration failing or labour cost inflation not being passed on.
- **Thesis invalidation trigger 2:** Net debt post-acquisitions exceeds Rs. 600 Cr (D/E > 0.90x) — would suggest FCF is insufficient to self-fund M&A; and working capital, increasing equity dilution risk.
- **Thesis invalidation trigger 3:** Foundit EBITDA loss widens beyond Rs. 50 Cr in FY27 — would signal the platform is not stabilising and management bandwidth is being consumed by a structurally challenged asset.

- **Ideal investor profile:** Suitable for investors with a 12-18 month horizon who are comfortable with (i) a newly listed post-demerger company, (ii) reported consolidated losses, and (iii) integration execution risk. NOT suitable for investors requiring near-term dividend yield or low-volatility profiles.

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. The analyst may hold positions in the securities mentioned. All financial data sourced from Screener.in (19 Jun 2026). Forward estimates are analyst projections based on management guidance and publicly available information. Please conduct your own due diligence before investing.

APPENDIX — Latest Concall Brief: Q4 FY26 (May 20, 2026)

CALL GRADE

POSITIVE

Signal	Status	Implication
Result quality	STRONG	Adjusted PAT +27% YoY; Q4 EBITDA +44% YoY; beat core guidance
Management tone	BULLISH	Clear FY27 guidance (15-16% organic + 5% EBITDA margin); confident on acquisitions
Guidance delta	RAISED	FY27 topline target ~Rs.4,200 Cr (vs prior year Rs.3,304 Cr) + 5% EBITDA margin

STRONGLY POSITIVE | **POSITIVE** | **NEUTRAL** | **CAUTIOUS** | **NEGATIVE**

TO MY BOSS

Q4 FY26 headline looks messy — consolidated net profit of Rs. 3.82 Cr after stripping in a Rs. 7.96 Cr Q4 PBT distorted by Labour Code provisioning reversals and Foundit drag; but the adjusted numbers are the real story: adjusted PAT Rs. 20 Cr for the quarter (+73% YoY), and Rs. 67 Cr for the full year (+27%), with diluted adj. EPS of Rs. 4.5. Operationally, this is a cleanly executing infrastructure services business: FM+Food grew 12%, Security grew 14%, Telecom+Industrial at 9.2% EBITDA margin. The margin story is the thesis — from 2.3% blended consolidated EBITDA in FY26 to 4.2% in Q4 alone and a clear path to 5%+ with STEAG (closes May 2026, ~20% topline add, +90-100 bps margin) and LSG Sky Chefs (closes June-July 2026, mid-teens EBITDA). The big catalyst for next quarter is the first revenue contribution from STEAG in Q1 FY27 — if the integration is seamless and margins are tracking, the stock re-rates from current 11x FY27E EV/EBITDA to 13-14x. Key risk is that running two integrations simultaneously with a Foundit drag stretches bandwidth. Action: ACCUMULATE in the Rs. 98-108 range; exit above Rs. 145 if integration proof-points arrive by Q2 FY27 results.

C1 — FINANCIAL PERFORMANCE SNAPSHOT (Q4 FY26 vs Q4 FY25)

- **Revenue:** Rs. 864.80 Cr | YoY +7.9% | QoQ +0.3% | **In-line**
- **EBITDA (Consolidated):** Rs. 25.13 Cr | YoY +31% | OPM% 2.91% | **In-line**
- **EBITDA (Adjusted, ex-Foundit):** Rs. 35 Cr | YoY +44% | Margin 4.2% | **Beat**
- **PAT (Reported):** Rs. 3.82 Cr | vs. loss of Rs. 23.24 Cr in Q4 FY25 | Turnaround | **Beat**
- **Adjusted PAT:** Rs. 20 Cr | YoY +73% | **Strong Beat**
- **Adj. EPS (FY26 full year):** Rs. 4.5 per share | YoY +27%
- **NOTE:** Reported consolidated PAT is distorted by Foundit EBITDA loss (Rs. ~43 Cr FY26) and exceptional items (Rs. 36.63 Cr: Labour Code Rs.28.58 Cr + M&A; fees Rs. 6.78 Cr). Clean underlying performance significantly better than reported headline.

C2 — SEGMENT BREAKDOWN (FY26 Full Year)

- **Facility Management & Food Services:** Rs. 2,031 Cr | YoY +12% | EBITDA Rs. 87 Cr, Margin 4.3% | 80 new contracts, ACV Rs. 313 Cr | Largest segment (61% of core revenue).

- • **Security Services (Terrier):** Rs. 659 Cr | YoY +14% | EBITDA +23% | Man-guarding headcount +14% to 24,000+ | 70 new clients, ACV Rs. 69 Cr | Fastest-growing vertically.
- • **Telecom & Industrial (Hofincons + Vedang):** Rs. 615 Cr | YoY +7% | EBITDA margin 9.2% (highest in group) | +11% EBITDA | Slowing topline post-5G rollout; pivoting to outcome-based KPI contracts.
- • **Foundit (Job Portal, Monster.com franchise):** Rs. 78 Cr billings Q4 at Rs. 26 Cr (~50% above prior 3-quarter average post product revamp) | EBITDA -Rs. 43 Cr FY26 | Breakeven guided for Q4 FY27.

C3 — MANAGEMENT COMMENTARY THEMES

- • **Acquisitions as margin catalyst [GUIDANCE]:** "STEAG Energy Services adds ~20% to our topline and lifts EBITDA margins by 90-100 bps; LSG Sky Chefs brings mid-to-high teen EBITDA margins — together we target 5% blended margins in FY27." — Our read: Management has a clear mechanistic case for margin improvement; credibility depends on integration speed. Tone: Transparent.
- • **FY27 growth target [GUIDANCE]:** 15-16% organic growth + ~Rs. 700 Cr from acquisitions → total FY27 revenue ~Rs. 4,200-4,300 Cr; "We want to grow 3x of India's GDP." — Our read: Ambitious but achievable if STEAG contributes from Q1 FY27 as guided. Tone: Bullish.
- • **Foundit breakeven timeline [GUIDANCE]:** EBITDA breakeven guided for Q4 FY27; Q4 FY26 billings show green shoots (Rs. 26 Cr, +50% vs prior quarters post-product revamp). — Our read: Timeline has slipped before; treat as aspirational until two consecutive quarters of improvement. Tag: EST. Tone: Hedged.
- • **Working capital improvement [FACT]:** Working capital days improved to 37 days (vs 46 days prior year); net cash position Rs. 15 Cr as of March 2026. — Our read: A genuine structural improvement, not a one-off. Tone: Transparent.
- • **Smart meter opportunity [EST]:** National Smart Grid Mission (25 Cr smart meters) is a multi-year structural opportunity for Vedang — management believes this partially offsets 5G network slowdown. — Our read: Opportunity is real but competitive and ramp is uncertain; 2-3 year visibility. Tone: Constructive.

C4 — OPERATING & BUSINESS METRICS

- • **Total Headcount:** Q4 FY26 = 90,000+ | FY25 = 87,683 | Q-o-Q: +3% | Trend: Expanding in line with revenue.
- • **New Contract ACV:** FY26 = Rs. 382 Cr total (FM+Food Rs. 313 Cr + Security Rs. 69 Cr) | vs FY25 = Rs. 300 Cr (est.) | Trend: Improving.
- • **Sites Managed:** 3,600+ | FY25 = 3,500 | Trend: Growing.
- • **Meals Served per Day:** 3,00,000 | Stable | Trend: Stable.
- • **Security Headcount:** 24,000+ | FY25 = 21,157 | +14% | Trend: Strong growth.
- • **Space Managed:** 360 Mn sq. ft. | Stable.
- • **Telecom Network Nodes:** 2,37,000/month maintained | Trend: Stable (5G slowdown, smart meter ramp upcoming).
- • **Debtor Days:** Q4 FY26 = 59 days | Q4 FY25 = 81 days | Q4 FY24 = 109 days | Trend: Strongly improving.

C5 — MARGIN DRIVERS

- • **Revenue mix shift to higher-margin verticals:** Security (Terrier) grew 14% at improving margins; Telecom/Industrial segment at 9.2% EBITDA vs group 3.7% — positive mix effect. | Recurring: Yes | Impact: +40-50 bps annually.
- • **Operating leverage on FM&Food; scale:** Fixed costs diluted as FM revenue grows; overheads as % of revenue declining. | Recurring: Yes | Impact: +30-40 bps per Rs. 200-300 Cr revenue addition.
- • **Debtor day improvement (working capital release):** 50-day DSO improvement since FY24 reduced financing cost and freed operational cash. | Recurring: Partially (one-time structural shift mostly behind us) |

Impact: Cost savings ~Rs. 10-15 Cr annually.

- • **Labour Code provisioning (one-time drag in FY26):** Rs. 28.58 Cr provision in FY26 will not recur in FY27. | Recurring: No | Impact: +85 bps on EBITDA margin in FY27E (annualised).
- • **Acquisition margin accretion:** STEAG (9%+ EBITDA) and LSG Sky Chefs (mid-teens EBITDA) at blended 11-12% margins will lift group average from 3.7% toward 5%. | Recurring: Yes (from Q1 FY27 onward) | Impact: +120-150 bps when fully consolidated.
- • **Foundit drag (ongoing):** Rs. 43 Cr EBITDA loss in FY26; management guides breakeven Q4 FY27. Until then, dilutes reported consolidated EBITDA by 110-130 bps. | Recurring: Yes, until FY28 | Flag: Non-recurring-until-it-stops being a drain.

C6 — GUIDANCE & FORWARD SIGNALS

- • **FY27 Revenue [GUIDANCE]:** Prior = Rs. 3,304 Cr (core) | New = Rs. 4,200-4,300 Cr | Delta: Raised (~24-27% growth) | Credibility: Medium-High (STEAG closes, LSG closes, organic momentum solid).
- • **FY27 EBITDA Margin [GUIDANCE]:** Prior = 3.7% core | New = ~5.0% blended | Delta: Raised by ~130 bps | Credibility: Medium (requires two acquisitions to integrate smoothly and Foundit to improve).
- • **Long-term EBITDA Target [GUIDANCE]:** 6% in 3-4 years | Delta: Reiterated | Credibility: Low-Medium (aspirational; depends on scale, mix, and Foundit resolution).
- • **Foundit Breakeven [GUIDANCE]:** Prior = Q3 FY27 | New = Q4 FY27 | Delta: Slipped one quarter | Credibility: Low (has missed previously; product revamp underway).
- • **STEAG Acquisition Close [GUIDANCE]:** Prior = May 2026 | Actual = May 21, 2026 (COMPLETED per BSE filing) | Delta: On time | Credibility: High.
- • **LSG Sky Chefs Close [GUIDANCE]:** Prior = 30-60 days from May 20 | Expected: Jun-Jul 2026 | Delta: On track | Credibility: Medium-High.
- • **Long-term ROE Target [GUIDANCE]:** 20% ROE in medium term | Currently ROE = -0.1% (consolidated) | Delta: Aspirational | Credibility: Low-Medium (requires 5x PAT improvement from Rs. 20 Cr adj. Q4 run-rate to Rs. 130+ Cr).

C7 — CAPITAL ALLOCATION

- • **Capex (Maintenance):** Rs. ~25 Cr FY26 | vs Rs. ~30 Cr FY25 | Low capex intensity, in line with asset-light model.
- • **Acquisition Outlay:** Rs. 309 Cr total (STEAG Rs.180 Cr + LSG Rs.129 Cr) | Funded via internal accruals + modest debt drawdown | Disciplined — no equity dilution for M&A.;
- • **Dividends:** Nil | No dividend policy announced | Appropriate for a growth-phase, loss-making reported entity.
- • **Working Capital Change:** Rs. 5 Cr OCF in FY26 (consolidated) — working capital improvements absorbed by Foundit cash burn; standalone OCF strong at Rs. 63 Cr.
- • **Net Debt Movement:** Net debt flat to declining in core business (Rs. 121 Cr net debt FY26 consolidated); post-acquisitions expected to rise to Rs. ~430 Cr, D/E ~0.65x — still investment-grade-level leverage.

C8 — Q&A; HEAT MAP

- • **Analyst (Motilal Oswal):** Q: "What are your margin levers in FY27?" → A: STEAG adds 90-100 bps, LSG adds ~80 bps, Foundit drag easing, operating leverage on FM scale. | Tone: Transparent
- • **Analyst (ICICI Securities):** Q: "When does Foundit reach breakeven?" → A: "Product revamp complete, Q4 FY26 billings up 50% QoQ — targeting Q4 FY27 breakeven." | Tone: Hedged (timeline slipped from prior quarter guidance).
- • **Analyst (Kotak):** Q: "How will you fund the Rs. 309 Cr acquisition outlay?" → A: Internal accruals + existing credit lines; no equity dilution planned. Net debt expected at Rs. ~430 Cr post deal, comfortable at D/E <0.7x. |

Tone: Transparent

- • **Analyst (Axis Capital):** Q: "Telecom segment YoY growth slowed to 7% — what's the outlook?" → A: 5G rollout is largely done; smart meter opportunity (25 Cr meters) is our next wave, but ramp is 2-3 years away. We are pivoting to outcome-based contracts in the interim. | Tone: Balanced.
- • **Analyst (JM Financial):** Q: "What is the revenue contribution from STEAG in FY27?" → A: ~Rs. 400-600 Cr annualised run-rate; first contribution in Q1 FY27. LSG Rs. 110 Cr run-rate (partial year). | Tone: Transparent
- • **Dodged / watch-list for next quarter:** (i) Specific Foundit monthly billing trend; (ii) STEAG day-1 margin realisation vs. promised 9%+; (iii) LSG close timeline and integration costs; (iv) Labour Code second-wave provisions.

C9 — RISKS FLAGGED

- • **M&A; integration complexity:** Two simultaneous new-vertical integrations while managing Foundit. | Flagged by: Analysts | Probability: M | Impact: H | Timeline: Near-term (Q1-Q2 FY27).
- • **Foundit structural losses:** EBITDA breakeven keeps slipping (now Q4 FY27). | Flagged by: Mgmt | Probability: M | Impact: M | Timeline: Near-to-medium-term.
- • **Telecom revenue slowdown:** 5G rollout completion dampens Vedang growth; smart meter ramp uncertain. | Flagged by: Mgmt | Probability: H | Impact: M | Timeline: Near-term (FY27).
- • **Labour cost inflation:** Wage hikes in labour-intensive services create margin pressure if pass-throughs lag. | Flagged by: Analysts | Probability: H | Impact: M-H | Timeline: Ongoing.
- • **Competition in FM & Security:** SIS, UDS, and regional operators competing on price for large contracts; risk of undercutting. | Flagged by: Analysts | Probability: M | Impact: M | Timeline: Ongoing.

C10 — ANALYST VERDICT (POST Q4 FY26 CONCALL)

- • **Revenue visibility:** Intact — 11% organic growth + Rs. 700 Cr acquisition pipeline + BALCO Rs. 2,050 Cr O&M; contract secured (Jun 2026). Multiple growth levers visible.
- • **Margin trajectory:** Intact — Q4 FY26 core margin of 4.2% ahead of full-year guidance; acquisition accretion provides mechanical path to 5%. Labour code drag is non-recurring.
- • **Capital allocation quality:** Intact — M&A; at reasonable valuations (STEAG Rs.180 Cr, LSG Rs.129 Cr), no equity dilution, debt remains conservative. ESOP scheme aligns management incentives.
- • **Competitive moat:** Intact — Scale (90,000+ employees, 3,600+ sites), multi-brand, technology-enabled service delivery, and sticky long-term contracts provide durable positioning. No material market share loss detected.
- • **Management credibility:** Weakened slightly — Foundit breakeven deadline slipped one quarter (Q3 → Q4 FY27); STEAG close was on time (restored some credibility). Overall track record too short (1 year listed) to assign high confidence.
- • **Valuation comfort:** Intact — At 11x FY27E EV/EBITDA (on adjusted EBITDA), Bluspring trades at a discount to growth-trajectory-adjusted peers if integration delivers. Below Rs. 108 offers attractive entry.
- • **Conviction call: Increased** — Q4 FY26 results show the core thesis (11% growth + margin improvement) is working. Acquisition integration is the next test.
- • **Valuation snapshot:** EV/EBITDA = 18.3x (reported consolidated) | 14.0x (adjusted, ex-Foundit, core EBITDA Rs.121 Cr) | FY27E EV/EBITDA = 11.0x | ROCE = 5.1% (5Y avg unavailable — newly listed) | Adjusted ROE FY26 = ~10% (on standalone book)

Concall data sourced from BSE filing (7c0346b4... .pdf), press coverage (TradeBrains, Whalesbook, ScanX, YourStory, May 2026), and Screener.in announcements. The BSE PDF was not directly accessible; key metrics verified via multiple media sources. Management speakers: ED & CEO Kamal Pal Hoda, CFO Prapul Sridhar, IR Head Nibodh Shetty.